

European Technology/Software

SAP SE

Rating

Outperform

Price Target

 **SAP.GR**

276.00 EUR



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SAP: 2Q26 preview - S/4 migration reality vs AI narrative

SAP's 2Q26 results should reinforce the durability of its S/4 transition, in our view. Ahead of the 23 July print, we reiterate our **Outperform** rating. The key debate is whether SAP could sustain a mid-20s current cloud backlog (CCB) growth trajectory. Our proprietary analysis of SAP's S/4 migration progress suggests the latter: we estimate only ~55% of the ECC installed base has migrated to S/4, leaving a substantial conversion opportunity. We forecast results modestly above consensus and believe stable ~24-25% CCB growth would strengthen confidence in FY26 guidance and medium-term cloud growth.

The cloud backlog remains the critical KPI. Consensus expects CCB growth to slow modestly from 25% in 1Q26 to 24% in 2Q26. We believe backlog growth can remain in the mid-20s, supported by ongoing S/4 migrations, Cloud ERP adoption and strong visibility from contracted revenue. The key signal for investors will be whether demand remains resilient despite macro uncertainty and recent concerns around large-deal timing.

The S/4 migration runway remains underappreciated. Based on our analysis, only around 55% of SAP's ECC installed base has migrated to S/4. With end-of-support deadlines approaching and ERP modernization increasingly mission-critical, we see a large remaining conversion opportunity that should continue supporting cloud revenue growth into FY27.

AI is increasingly a migration accelerator rather than a standalone revenue story. While investors remain skeptical about near-term AI monetization, SAP's embedded AI strategy, Business Data Cloud initiative, and recent acquisitions could support higher cloud adoption, larger transformation projects and stronger customer retention over time.

Investment Implications

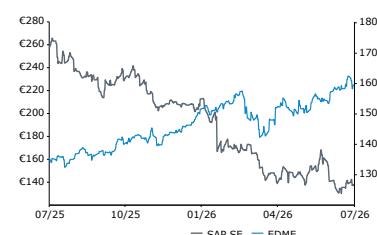
Stay constructive. We expect SAP to reiterate FY26 guidance, deliver modest upside versus consensus and demonstrate that cloud growth, margin expansion and cash generation remain intact, reinforcing our Outperform stance.

Adjusted EPS	F25A	F26E	F27E
SAP.GR (EUR)	6.10	7.54	9.02

Financials	F25A	F26E	F27E	CAGR
Revenues (M)	36,800	40,638	46,491	12.4%
Operating Earnings (M)	--	--	--	--
Net Earnings (M)	--	--	--	--
Revenue/Share	--	--	--	--
Operating Margin (%)	--	--	--	--
Net Income Margin (%)	19.5	21.2	21.4	--
EPS Growth (%)	36.0	23.5	19.6	--

Close Date	9 Jul 2026			
SAP.GR Close Price (EUR)	138.44			
Price Target (EUR)	276.00			
Upside/(Downside)	99%			
52-Week Range	269.35/130.62			
EDME	1,593.41			
FYE	Dec			
Div Yield	1.8%			
Market Cap (EUR) (M)	170,271			
EV (EUR) (M)	168,593			
Performance	YTD	1M	6M	12M
Absolute (%)	(33.5)	(6.3)	(34.8)	(47.1)
EDME (%)	8.4	1.5	5.0	17.6
Relative (%)	(41.8)	(7.7)	(39.8)	(64.7)
Source: Bloomberg, Bernstein estimates and analysis.				

Price Performance, 1YR



Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our [Global Research Disclosure Website](#).

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DETAILS

WHERE ARE WE COMPARED TO CONSENSUS?

SAP is scheduled to report its 2Q26 results on 23 July after market close. Following a solid 1Q26 print, we believe that investor attention is likely to remain focused on the sustainability of cloud growth, current cloud backlog (CCB) momentum, and the credibility of SAP's FY26 outlook rather than on a simple revenue or EPS beat.

We sit modestly above Visible Alpha consensus across all key metrics, including revenue, cloud subscription revenue, operating income and EPS (Exhibit 1). In particular, we forecast 2Q26 revenue of €9.9bn (+12% yoy at constant currencies [cc]), a non-IFRS operating income of €2.9bn (margin 29.6%, +200bp) and EPS of €1.84 (+23% yoy), all slightly ahead of consensus estimates.

Cloud revenue remains the key growth driver. We expect cloud subscription revenue to increase 25% yy cc to €6.3bn, modestly ahead of consensus. While growth is moderating from the exceptional levels achieved over the past two years, we believe the cloud transition remains intact and continues to be supported by ongoing S/4HANA migrations and Cloud ERP adoption.

We believe that current cloud backlog will likely remain the most closely watched indicator for investors. Following 1Q26 CCB growth of 25% cc to €21.9bn, Visible Alpha expects growth of 24% cc in 2Q26, implying only a modest deceleration. Consensus currently forecasts average CCB growth of approximately 23% for FY26, compared with 25% in FY25. We believe a stable mid-20s CCB growth trajectory would be sufficient to support SAP's FY26 cloud revenue targets and reassure investors that current macro uncertainties would not have a significant impact on the migration cycle for S/4, which is the key growth driver.

Please note that two factors negatively impacted their CCB but are both already in CCB so do not present any issues for the quarter's results, even though in theory they could repeat at any time.

- Large government contracts were closed with exit clauses which is something we have personally found in these contracts and is not unusual. Accounting rules do not allow the inclusion of any contract revenues with early exit clauses in backlog. While this hurt backlog the revenue will still come which could incrementally set SAP up to beat through the year.
- Larger contracts were closed in 4Q25 which helped backlog but some of these contracts had longer roll out periods with a larger planning/testing process upfront. This delayed revenue recognition from this FY to next. Note that this could help next year's revenue growth.

EXHIBIT 1: SAP: 2Q26 result preview - Bernstein vs Visible Alpha consensus

€m	2Q25	2Q26 estimates			
	Actual	Bernstein	Change	Consensus	Change
Total revenue	9,027	9,915	10%	9,832	9%
Growth at constant currencies (%)	12%	12%	0bp	11%	-100bp
- o/w cloud subscription revenue	5,130	6,338	24%	6,239	22%
Growth at constant currencies (%)	28%	25%	-300bp	23%	-500bp
- o/w maintenance revenue	2,642	2,415	-9%	2,426	-8%
Growth at constant currencies (%)	-3%	-7%	-400bp	-7%	-400bp
- o/w license revenue	194	136	-30%	135	-30%
Growth at constant currencies (%)	-13%	-30%	-1,700bp	-30%	-1,700bp
Non-IFRS operating income	2,568	2,930	14%	2,892	13%
Non-IFRS operating margin (%)	27.6%	29.6%	+200bp	29.4%	+180bp
Non-IFRS EPS (€)	1.49	1.84	23%	1.75	17%

Source: SAP (FY to end-December), Visible Alpha consensus (data as of 8 July), Bernstein analysis and estimates

WHAT ABOUT THE FY26 OUTLOOK?

We expect SAP to reiterate its FY26 guidance at constant currencies (Exhibit 2). Since the 1Q26 results, both consensus and our forecasts have moved closer to the midpoint of management's targets, reducing the risk of a guidance revision at this stage of the year. We believe the company will maintain its FY26 cloud revenue guidance of €25.8-26.2bn (+23-25% cc), cloud and software revenue guidance of €36.3-36.8bn (+12-13% cc), operating income guidance of €11.9-12.3bn (+14-18% cc), and free cash

flow target of approximately €10bn.

Visible Alpha consensus and our estimates remain broadly aligned with management's framework. Consensus assumes cloud revenue growth of approximately 24% cc, cloud and software revenue growth of 12% cc, and operating income growth of 15% cc, while our forecasts are similarly centered around the midpoint of guidance. Importantly, after the stronger-than-expected 1Q26 performance, we believe that SAP enters 2Q26 with a relatively comfortable starting position against its full-year targets, despite the war in the Middle-East and rising macro uncertainties.

EXHIBIT 2: SAP: FY26 outlook - Bernstein vs Visible Alpha consensus

	SAP guidance for FY26 at end-1Q26			Pre-2Q Visible Alpha consensus		Bernstein estimates
	At constant currencies (cc)	FX assumptions	Implying on reported terms	At const. curr.	Reported terms	
Cloud revenue	+23-25% cc to €25.8-26.2bn	-1.5pp	€25.5-26.0bn, with mid-point at €25.8bn	+24% cc	€25.6bn	€25.9bn
Cloud and software revenue	+12-13% cc to €36.3-36.8bn	-1.5pp	€36.0-36.3bn, with mid-point at €36.1bn	+12% cc	€36.0bn	€36.4bn
Operating income	+14-18% cc to €11.9-12.3bn	-2.0pp	€11.7-12.1bn, with mid-point at €11.9bn	+15% cc	€11.9bn	€12.1bn
FCF			c.€10.0bn		€9.94bn	€10.1bn

Source: SAP (FY to end-December), Visible Alpha consensus (data as of 8 July), Bernstein analysis and estimates

The key debate is likely to remain whether the company can sustain cloud growth in the mid-20s while continuing to expand margins. We believe the outlook remains achievable. The ongoing migration from ECC to S/4, increasing Cloud ERP penetration and growing adoption of SAP's AI capabilities should continue to support cloud demand. At the same time, the company's focus on operational efficiencies should enable further margin expansion and support management's ambition to deliver approximately €10bn of free cash flow in FY26.

Overall, we see limited pressure on SAP to adjust guidance after the first six months. Provided that CCB growth remains around the low-to-mid-20s level and management maintains confidence in 2H26 pipeline, we expect FY26 guidance to be reiterated.

WHAT ARE THE KEY INVESTOR DEBATES HEADING INTO 2Q26 RESULTS?

Ahead of SAP's 2Q26 results, we believe, based on our discussions with them, that investors are focused less on the quarter itself and more on a number of key strategic debates that will shape the company's medium-term outlook. These discussions center on the sustainability of cloud backlog growth, the ability of AI initiatives to generate meaningful revenue and accelerate ERP migrations, the credibility of FY26 guidance, the durability of margin expansion, the potential of Business Data Cloud and recent acquisitions to create new growth avenues, and whether the recent share price weakness represents an attractive entry point or signals a more structural slowdown in growth. Collectively, these debates will determine whether SAP can continue delivering strong growth and profitability while successfully navigating a rapidly evolving technology and macroeconomic environment.

DEBATE 1: CURRENT CLOUD BACKLOG - SUSTAINABLE LOW-TO-MID-20S GROWTH OR A TEMPORARY PEAK?

The key debate for investors is whether SAP's strong cloud performance in 1Q26 confirms a durable low-to-mid-20s CCB growth trajectory that can support FY26 and FY27, or whether the quarter represents a temporary peak following exceptional deal activity.

Bull case: CCB growth remains strong enough to support FY26 and FY27

Bulls argue that 1Q26 reinforced confidence in SAP's cloud growth outlook. CCB increased 25% cc to €21.9bn, while cloud revenue grew 27% cc and Cloud ERP Suite revenue grew 30% cc. Management indicated that only modest backlog deceleration should occur during FY26 vs FY25 and reiterated confidence in the medium-term demand environment.

The backlog provides substantial visibility because it represents contracted future revenue, supporting SAP's target of 23-25% cc cloud revenue growth in 2026. Management also highlighted that several large contracts signed in late 2025 are still ramping and should contribute more meaningfully in FY27.

A key structural support remains the ongoing S/4 migration cycle. We estimate that approximately 55% of the ECC installed base has migrated, leaving a large conversion opportunity ahead of end-of-support deadlines (Exhibit 4 and Exhibit 5). For many customers, these multi-year migrations are mission-critical and difficult to postpone. We can further argue that SAP is relatively insulated from macroeconomic weakness because ERP systems are core infrastructure rather than discretionary software spending.

What bulls want to see in 2Q26: CCB growth remaining around 24-25% cc; Cloud ERP growth staying near 30% cc; continued confidence in FY26 and FY27 demand trends; and no evidence of meaningful deal slippage or execution issues.

Bull summary: SAP's cloud growth remains structurally supported by backlog visibility, S/4 migrations, and market share gains, making low-to-mid-20s CCB growth sustainable through FY26 and potentially FY27.

Bear case: 1Q26 was the high-water mark

Bears contend that the 1Q26 strength may have reflected exceptional execution and quarter-end deal closures rather than a lasting acceleration in demand. They note that SAP continues to guide for some moderation in backlog growth during FY26 and has acknowledged quarter-specific factors that benefited cloud revenue in 1Q26 but are unlikely to repeat.

Skeptics also point to the market's reaction following 4Q25, when backlog growth disappointed relative to expectations despite strong reported cloud revenue. This highlighted investor sensitivity to any signs of weakening future demand. The concern is that SAP could once again deliver solid near-term revenue while backlog growth slows, raising questions about the durability of future growth.

Further risks stem from longer sales cycles, particularly for large public-sector, sovereign cloud, and RISE transformation projects. Because quarterly backlog growth can be heavily influenced by a few large transactions, delays in mega-deal closures could materially affect reported growth rates even if underlying demand remains healthy.

A CCB growth rate closer to 22-23% in coming quarters could revive concerns that SAP's cloud growth is gradually normalizing and may drift toward the high teens beyond FY26.

Key bear triggers in 2Q26: CCB growth below approximately 23% cc; evidence of elongating sales cycles or delayed large deals; more cautious management commentary regarding 2H26 bookings; and signs that backlog growth is trending toward the mid-teens rather than the low 20s.

Bear summary: The strong 1Q26 results may have been boosted by one-off factors and large deal timing, while slowing backlog growth or longer sales cycles could signal that SAP's cloud trajectory is beginning to normalize.

Bottom line

The central question is whether 1Q26 confirmed a durable cloud growth trajectory or simply masked the underlying slowdown that first appeared in the weaker 4Q25 backlog performance. Investors will focus closely on 2Q26 backlog growth, cloud revenue growth excluding one-off factors, and management's commentary on large-deal activity. A CCB growth rate at or above 24-25% cc would strengthen the bull case, whereas a decline toward 22-23% cc or below would likely reignite concerns about the sustainability of SAP's long-term cloud growth outlook.

DEBATE 2: AI STRATEGY, MONETIZATION, AND COMPETITIVE PRESSURE

The key debate is whether SAP's AI strategy is becoming a meaningful driver of cloud growth and monetization, or whether adoption complexity and competitive pressures will keep the financial impact limited in the near term.

Bull case: AI becomes a meaningful driver of cloud growth and ERP migration

SAP is positioning itself as a differentiated Business AI platform because customers' most critical operational and domain knowledge resides within SAP systems. This gives SAP the ability to embed AI directly into end-to-end business processes rather than offering standalone AI tools.

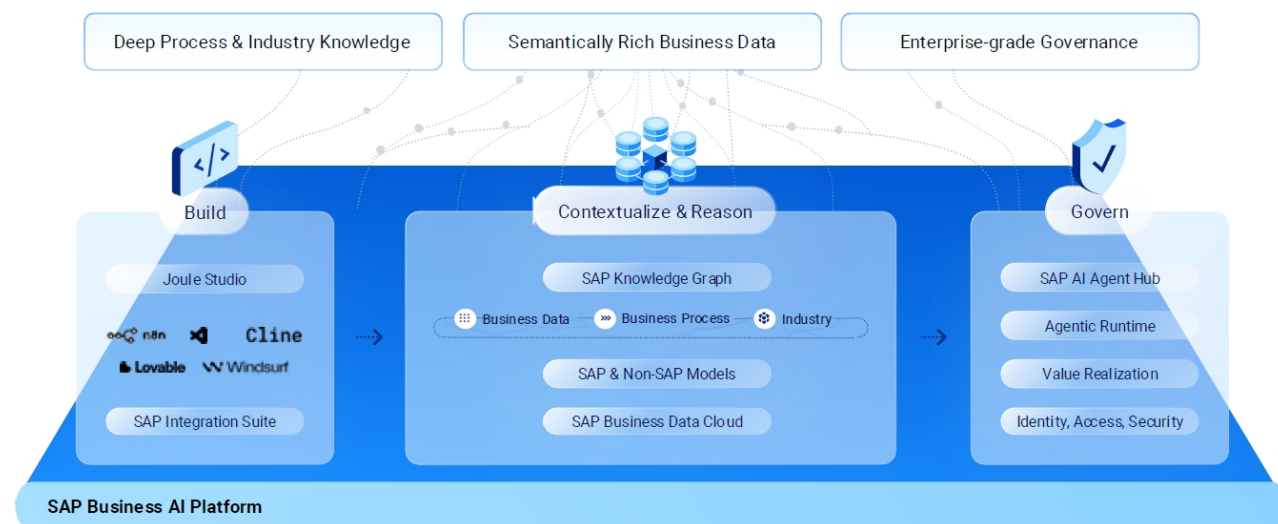
SAP management increasingly presents AI as an accelerator of ERP cloud migration rather than a separate product category. AI capabilities are being embedded across S/4, Business Data Cloud and Joule, encouraging customers to modernize their ERP environments, adopt SAP cloud solutions and expand use of the SAP platform.

SAP's AI ecosystem (Exhibit 3) continues to strengthen through Joule, industry-specific AI applications and Business Data Cloud, with more than 400 AI agents expected by end-2026. The acquisitions of Reltio and Dremio further enhance this strategy by improving data quality, integration and readiness for AI and agentic AI use cases. Bulls argue that SAP's combination of ERP data, semantic models and process expertise creates a competitive advantage that AI-native competitors will struggle to replicate.

Early customer examples, including KPMG and EY, as shown at Sapphire 2026 user conference, demonstrate tangible productivity benefits from Joule, such as faster project delivery and shorter implementation cycles. These use cases support the view that AI can increase customer willingness to pay while also improving SAP's own services productivity and margins.

Bull summary: SAP's unique access to enterprise process data, combined with embedded AI and enhanced data capabilities, could make AI a meaningful driver of cloud migration, platform adoption, pricing power and long-term revenue growth.

EXHIBIT 3: SAP: Business AI platform



Source: SAP

Bear case: AI remains more narrative than revenue driver

Despite SAP's extensive AI messaging, investors remain concerned that AI-native and more modular competitors could continue to gain traction, particularly if SAP's AI adoption depends on prerequisites such as cloud migration, clean-core transformations and Business Technology Platform deployment.

Adoption trends remain mixed. The German user group DSAG survey data ([link](#)) suggests that a significant share of German-speaking customers using AI productively rely on non-SAP solutions, often citing complex licensing structures and fragmented IT landscapes as barriers to SAP AI adoption.

A key concern is that AI monetization remains difficult to assess. SAP provides limited quantitative disclosure on AI-related revenue, pricing uplift, attach rates or incremental ACV (annual contract value) generated by AI. Consequently, investors still rely heavily on management commentary rather than measurable KPIs.

The Sapphire announcements generated significant interest around SAP's agentic AI strategy and commercial model, but investors are now looking for evidence that this translates into tangible demand. If 2Q26 results do not show improving bookings, backlog growth, large transformation deals or new AI-specific commercial metrics, investors may continue to view AI primarily as a narrative that supports renewals rather than a material source of incremental revenue.

Bear summary: AI adoption may be slowed by implementation complexity, competitive alternatives and limited monetization visibility, leaving AI more of a strategic narrative than a meaningful near-term growth driver.

Bottom line

The central question is whether SAP's embedded AI and data strategy can evolve into a clear engine for growth, cloud migration and pricing, or whether implementation hurdles, competitive AI ecosystems and limited monetization transparency will result in a slower and less economically impactful adoption curve.

Following Sapphire's announcements, 2Q26 will be closely monitored for evidence that SAP's AI and data strategy is translating into measurable commercial outcomes, particularly through stronger backlog growth, higher bookings and large transformational deal activity.

DEBATE 3: FY26 GUIDANCE - DE-RISKED, OR STILL EXPOSED TO A POTENTIAL SLOWDOWN IN 2H26?

Investors remain divided on whether SAP's strong start to FY26 and reaffirmed guidance have largely de-risked full-year delivery, or whether execution remains vulnerable to a softer macro environment and a more challenging second half.

Bull case: SAP appears comfortably on track to achieve FY26 targets

Following 1Q26, SAP reaffirmed its FY26 guidance. The strong start to the year supports confidence in these targets. SAP delivered double-digit revenue growth at constant currencies in 1Q26 while expanding its non-IFRS operating margin to 30%, up 2.8 pp year-on-year. As a result, the company enters 2Q26 ahead of plan rather than needing to recover from a weak start.

Visible Alpha consensus expectations have also increasingly converged toward management's guidance, reducing the likelihood of another guidance reset. In addition, SAP has benefited from more favorable FX assumptions than those embedded in the initial outlook.

Beyond 2026, management continues to emphasize disciplined cost control and expects operating expense growth to remain below revenue growth, supporting a structurally improving margin profile and reinforcing confidence in profit and FCF delivery.

Bull summary: A strong 1Q26, reaffirmed guidance, improving margins, and disciplined cost execution suggest FY26 targets are increasingly de-risked and achievable.

Bear case: Guidance still depends on a supportive macro backdrop and a strong 2H26

The key concern is not 2Q26 itself, in our view, but the assumptions required to deliver FY26 expectations in 2H26. Current guidance implicitly relies on stable enterprise IT spending, continued backlog conversion, ongoing productivity improvements, and no meaningful deterioration in the macroeconomic environment.

SAP management has also acknowledged several external dependencies. Guidance assumes a near-term de-escalation of the Middle East conflict and successful integration of Reltio. SAP has noted that some customers and government organizations in affected regions have shifted their focus toward operational priorities, creating pressure on 1H26 pipeline.

At the same time, SAP has tempered longer-term expectations by indicating that total revenue growth in 2026 is likely to remain similar to 2025 levels, with acceleration now expected in 2027 rather than progressively through the period. This raises questions about the amount of upside embedded in current forecasts.

Any signs in 2Q26 of longer sales cycles, regional weakness - particularly in manufacturing-heavy or energy-sensitive sectors - slower backlog growth, project postponements, or more cautious customer spending could increase doubts about SAP's ability to achieve the upper end of its guidance ranges. Investors would be especially sensitive to any reduction in management's confidence around operating-income delivery in 2H26.

Bear summary: While FY26 guidance was reaffirmed at end-April, delivery remains dependent on favorable macroeconomic conditions, backlog conversion, and demand resilience, leaving the company vulnerable if growth slows during the second half of the year.

Bottom line

Investors are weighing whether the strong 1Q26 performance has materially de-risked FY26 execution or merely masks a more challenging 2H26 setup. With management already guiding to some moderation in cloud revenue growth and slightly slower backlog growth, 2Q26 commentary on pipeline trends, win rates, customer behavior, and regional demand will be critical in determining whether consensus expectations move toward the low or high end of SAP's guidance range and whether further estimate upgrades remain possible.

DEBATE 4: MARGIN EXPANSION AND PROFITABILITY - STRUCTURAL IMPROVEMENT OR APPROACHING ITS LIMITS?

The key debate is whether SAP can continue expanding margins and FCF while investing heavily in AI and data capabilities, or whether the easiest efficiency gains have already been realized.

Bull case: Margin expansion remains underappreciated

SAP's 1Q26 results strengthened the case that the company can simultaneously deliver strong cloud growth and higher profitability. Non-IFRS operating margin reached 30.0%, well ahead of expectations, supported by cloud scale benefits and lower share-based compensation expenses. Operating profit increased 17% yoy, while margin expanded by 2.8 pp.

SAP continues to target approximately €2bn of AI-driven efficiency gains by FY28 while maintaining cost discipline. As a result, bulls increasingly view SAP as both a cloud-transformation and a margin-expansion story. Even if cloud growth gradually moderates, further productivity improvements, operating leverage and a more favorable business mix could sustain strong EPS growth.

The profitability outlook is reinforced by SAP's cash generation profile. The company targets approximately €10bn of FCF in FY26, up from €8.24bn in FY25, reflecting the continued shift toward higher-margin cloud and software revenue. In addition, the €10bn share re-purchase program through 2027, together with the proposed dividend increase to €2.50 per share, signals management confidence and provides support for shareholder returns.

Bull summary: SAP may still be in the early stages of a multi-year margin and cash-flow expansion cycle, supported by cloud scale, AI-driven efficiencies and disciplined capital allocation.

Bear case: Easy efficiency gains may already be captured

Bears argue that much of the restructuring, workforce optimization and cost rationalization has already taken place. Future margin expansion will increasingly depend on AI-related productivity gains, operating leverage and continued business mix improvement, all of which are more difficult to achieve and less predictable than earlier cost-cutting initiatives.

They also highlight risks to cash-flow consistency. 1Q26 operating cash flow and free cash flow were affected by a €408m litigation settlement, and further non-recurring items, integration costs or restructuring expenses could keep reported cash generation volatile.

In addition, currency remains a meaningful headwind. If March-end exchange rates persist, SAP expects approximately a 1.5 pp impact on cloud and cloud-software revenue growth and around a 2 pp impact on non-IFRS operating profit growth in FY26.

For 2Q26, bears are focused on signs that the margin story may be becoming more challenging. Key concerns include a margin miss despite healthy revenue growth, weaker confidence in AI-driven efficiency targets, or increased spending on AI, data initiatives and the Reltio integration without clearly visible returns. Any evidence of customer-friendly commercial actions (i.e., discount) aimed at re-accelerating growth could also raise questions about how much future margin improvement is already reflected in valuation.

Bear summary: The most accessible cost efficiencies may already be behind SAP, leaving future margin expansion more dependent on harder-to-execute productivity gains while investment and macro pressures continue to rise.

Bottom line

2Q26 will be a critical test of whether the strong profitability seen in 1Q26 is sustainable. Investors will be watching closely to determine whether SAP can continue expanding margins and FCF as temporary tailwinds fade and investment requirements increase, or whether the company is nearing the limits of its margin expansion cycle.

DEBATE 5: BUSINESS DATA CLOUD AND ACQUISITIONS - NEW GROWTH PLATFORMS OR EXECUTION DISTRACTION?

A key investor debate is whether SAP's Business Data Cloud strategy and recent acquisitions represent the foundation of a significant new growth platform or a source of execution risk and value uncertainty.

Bull case: SAP is building the AI data layer

Since 1Q26, SAP's Business Data Cloud initiative has emerged as one of the company's most important strategic developments. The acquisitions of Reltio and Dremio strengthen SAP's ability to unify SAP and non-SAP data, improve master data quality, and support agentic AI applications. Bulls argue that this expands SAP's addressable market well beyond ERP, creating a new monetization layer across data management, analytics, and AI services. In this view, Business Data Cloud could become a critical platform underpinning SAP's long-term growth and AI strategy.

Bull summary: Business Data Cloud and the Reltio and Dremio acquisitions could position SAP at the center of enterprise data and AI workflows, opening up meaningful new growth opportunities beyond ERP.

Bear case: Strategic rationale is clear, but financial benefits remain uncertain

While investors generally support the strategic logic, based on our conversations with them, uncertainty remains around the financial returns. Key questions include the scale of potential revenue contribution, the complexity of integrating acquired assets, the impact on margins, and the time required to generate meaningful value. As a result, some investors may be unwilling to attribute significant value to the strategy until tangible benefits become visible in reported financial and operational metrics.

Potential 2Q26 bear-case triggers include limited evidence of commercial traction, a lack of quantified synergies, and acquisition-related spending that exceeds market expectations.

Bear summary: Although the strategic case is compelling, investors may remain cautious until SAP demonstrates clear revenue growth, synergies, and profitability benefits from Business Data Cloud and its acquisitions.

Bottom line

Business Data Cloud has the potential to become SAP's next major growth platform by extending its role from ERP software to enterprise data and AI infrastructure. However, while the strategic rationale is broadly understood, the investment case will likely depend on SAP's ability to demonstrate tangible commercial adoption, clear financial returns, and successful integration of its acquisitions over the coming quarters.

DEBATE 6: VALUATION, SENTIMENT, AND STOCK RETURN SETUP

The debate ahead of 2Q26 centers on whether SAP's recent share price weakness (~13% over the past month) reflects a temporary loss of confidence that has reset expectations, or the beginning of a more durable slowdown in its cloud growth story.

Bull case: Sentiment is depressed, but a stabilization of cloud and AI momentum could drive a meaningful re-rating

SAP shares have fallen roughly 34% since the beginning of the year, reflecting concerns around AI, slowing cloud momentum and disappointment over backlog guidance. This correction has significantly lowered expectations and increased the potential for positive surprises. Despite near-term volatility, many investors remain constructive on SAP's long-term cloud and AI opportunity, supported by suite consolidation trends, AI-driven productivity benefits and a substantial backlog that underpins multi-year growth. In addition, the combination of a large share buyback program, a stronger FCF outlook and continued margin expansion could enhance the stock's medium-term appeal if 2Q26 results help restore confidence in the cloud and AI narrative.

Bull summary: With expectations reset and long-term growth drivers intact, a solid 2Q26 could trigger a meaningful re-rating of the shares.

Bear case: Valuation and growth expectations remain demanding, while any further backlog or cloud weakness could reinforce fears of a structural slowdown.

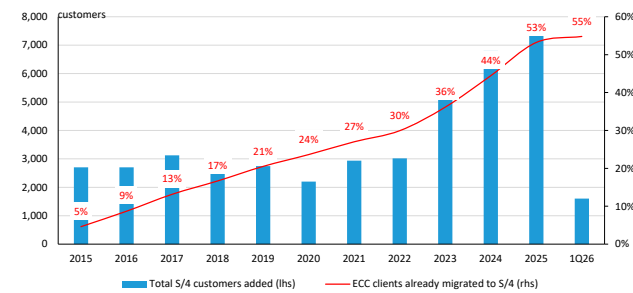
The share price drop in January following 4Q25 results showed that even when revenue meets expectations, weaker backlog metrics or signs of slowing cloud momentum can lead to a disproportionate decline. This highlights the risk that investors remain unconvinced about SAP's long-term growth trajectory. Some investors have also questioned valuation levels, arguing that much of the upside may already depend on successful execution of SAP's AI and suite strategy. In an increasingly competitive AI landscape, investors may prefer more AI-native software companies. At the same time, persistent concerns around AI monetization, legacy-cloud migration challenges and longer transformation cycles could limit growth relative to prior expectations.

Bear summary: If cloud momentum and backlog growth continue to disappoint, investors may increasingly view SAP as entering a structurally lower-growth phase, putting further pressure on valuation multiples.

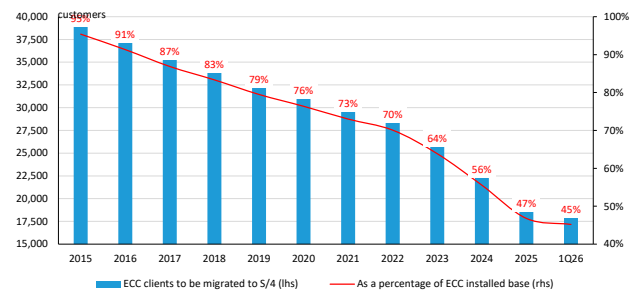
Bottom line

Given the stock's recent volatility, 2Q26 is likely to be a key catalyst. A clear beat on backlog growth and AI-related demand could drive a sharp relief rally, while another quarter characterized by stable results, but weak backlog trends could reinforce fears of a longer-term slowdown. More broadly, investors are likely to view 2Q26 as a test of whether the January setback was a one-off

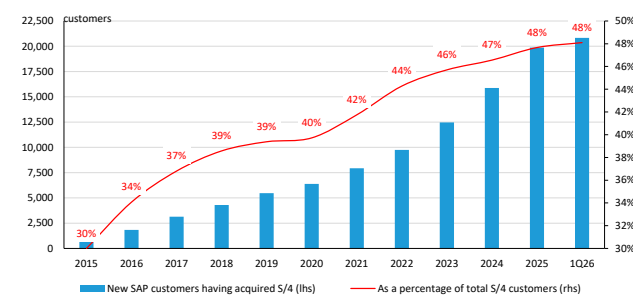
event or the beginning of a lower-growth regime for SAP's cloud business.

SAP: OPERATIONAL AND FINANCIAL DATA**EXHIBIT 4: SAP: total S/4 customers added**

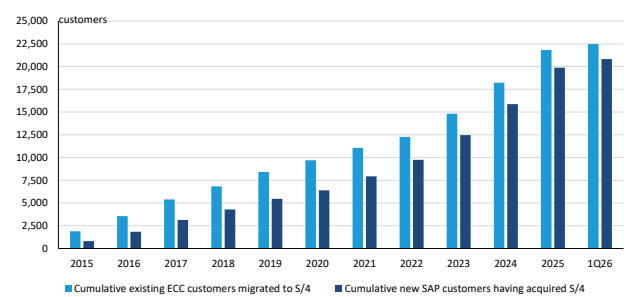
Source: SAP (FY to end-December), Bernstein analysis and estimates

EXHIBIT 5: SAP: ECC clients to be migrated to S/4

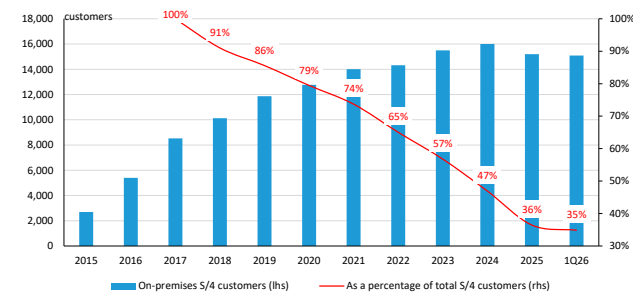
Source: SAP (FY to end-December), Bernstein analysis and estimates

EXHIBIT 6: SAP: new customers having acquired S/4

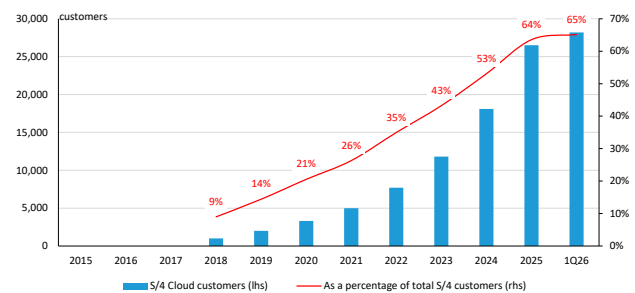
Source: SAP (FY to end-December), Bernstein analysis and estimates

EXHIBIT 7: SAP: S/4 customers by category

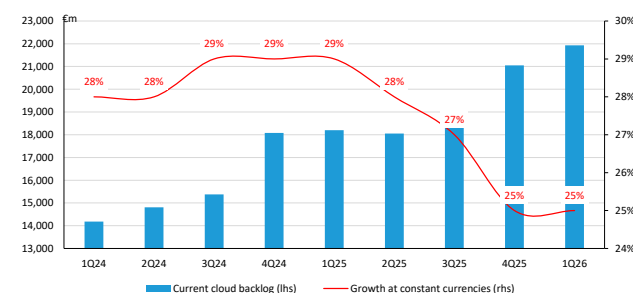
Source: SAP (FY to end-December), Bernstein analysis and estimates

EXHIBIT 8: SAP: on-premises S/4 customers

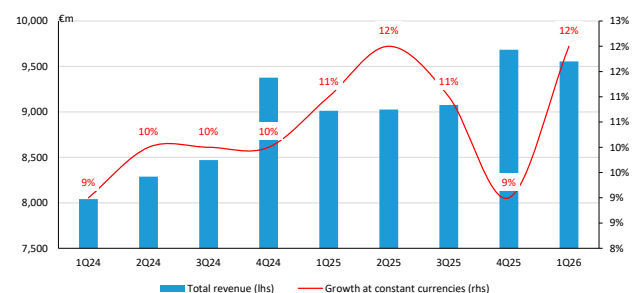
Source: SAP (FY to end-December), Bernstein analysis and estimates

EXHIBIT 9: SAP: Cloud S/4 customers

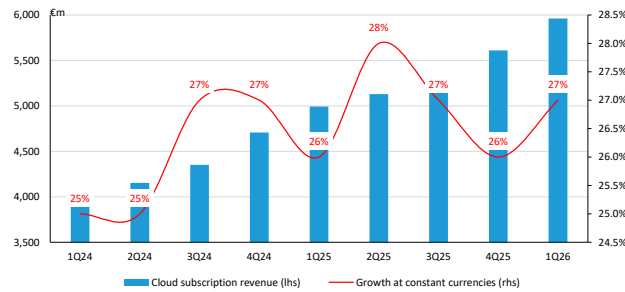
Source: SAP (FY to end-December), Bernstein analysis and estimates

EXHIBIT 10: SAP: Current Cloud Backlog

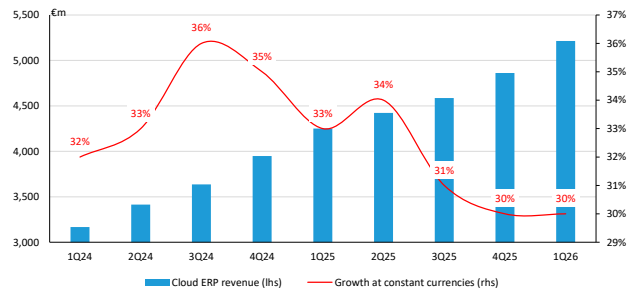
Source: SAP (FY to end-December), Bernstein analysis

EXHIBIT 11: SAP: Total revenue

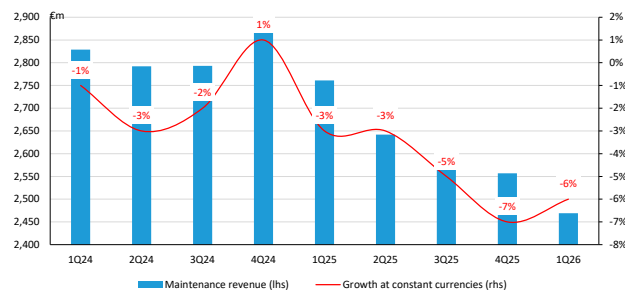
Source: SAP (FY to end-December), Bernstein analysis

EXHIBIT 12: **SAP: Cloud subscription revenue**

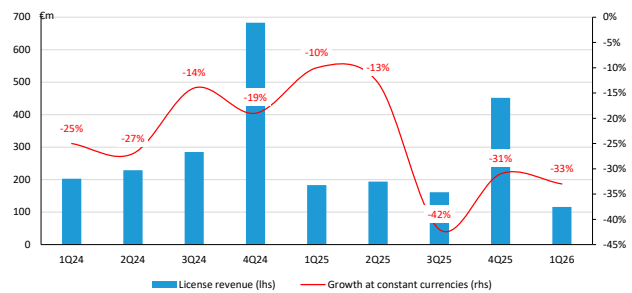
Source: SAP (FY to end-December), Bernstein analysis

EXHIBIT 13: **SAP: Cloud ERP revenue**

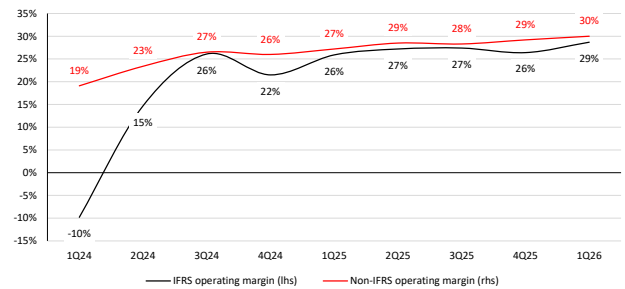
Source: SAP (FY to end-December), Bernstein analysis

EXHIBIT 14: **SAP: Maintenance revenue**

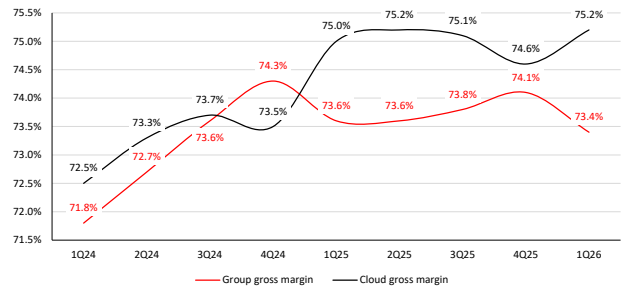
Source: SAP (FY to end-December), Bernstein analysis

EXHIBIT 15: **SAP: License revenue**

Source: SAP (FY to end-December), Bernstein analysis

EXHIBIT 16: **SAP: Operating margin**

Source: SAP (FY to end-December), Bernstein analysis

EXHIBIT 17: **SAP: Gross margin**

Source: SAP (FY to end-December), Bernstein analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 18: SAP: income statement

€m	FY25	FY26e	FY27e	FY28e	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26e	3Q26e	4Q26e
Software revenue	990	734	587	470	183	194	161	452	116	136	121	362
Cloud subscription and support revenue	21,023	25,976	32,310	39,666	4,993	5,130	5,290	5,610	5,962	6,338	6,623	7,053
Software and cloud subscription revenue	22,013	26,710	32,898	40,136	5,176	5,324	5,451	6,062	6,078	6,473	6,744	7,415
Support revenue	10,525	9,679	8,839	7,804	2,761	2,642	2,565	2,557	2,469	2,415	2,399	2,396
Cloud and Software revenues	32,539	36,389	41,736	47,940	7,938	7,966	8,016	8,619	8,547	8,889	9,142	9,811
Service revenue	4,261	4,249	4,755	5,459	1,075	1,061	1,060	1,065	1,007	1,026	1,090	1,126
Total Revenue	36,800	40,638	46,491	53,400	9,013	9,027	9,076	9,684	9,554	9,915	10,232	10,937
Cost of Cloud and Software	-6,462	-7,630	-9,054	-10,717	-1,541	-1,587	-1,621	-1,713	-1,767	-1,851	-1,927	-2,086
Cost of services	-3,192	-3,168	-3,593	-4,126	-840	-797	-759	-796	-774	-771	-782	-842
Research and development	-6,629	-7,084	-7,862	-8,818	-1,672	-1,617	-1,643	-1,697	-1,700	-1,734	-1,764	-1,886
Sales and marketing	-8,580	-9,157	-10,164	-11,206	-2,140	-2,088	-2,118	-2,234	-2,083	-2,250	-2,346	-2,477
General and administrative	-1,469	-1,461	-1,649	-1,855	-357	-358	-360	-394	-342	-379	-390	-350
Other	-48	-22	0	0	-8	-11	-8	-21	-22	0	0	0
Total Operating Expenses	-26,381	-28,522	-32,323	-36,721	-6,558	-6,458	-6,510	-6,855	-6,688	-6,985	-7,208	-7,641
Non-IFRS operating income	10,537	12,219	14,284	16,810	2,455	2,569	2,566	2,829	2,890	2,955	3,050	3,325
Non-IFRS operating margin (%)	28.6%	30.1%	30.7%	31.5%	27.2%	28.5%	28.3%	29.2%	30.2%	29.8%	29.8%	30.4%
Other non-operating income	118	103	116	132	10	-3	46	65	24	25	26	28
IFRS operating income	10,419	12,117	14,168	16,678	2,465	2,566	2,612	2,894	2,866	2,930	3,024	3,297
IFRS operating margin (%)	28.3%	29.8%	30.5%	31.2%	27.3%	28.4%	28.8%	29.9%	30.0%	29.6%	29.6%	30.1%
Financial Income, net	-229	-8	-40	321	-83	-42	-43	-61	-58	41	7	3
Income from continuing operations before tax	10,308	12,212	14,244	17,131	2,382	2,524	2,569	2,833	2,832	2,996	3,057	3,327
Taxes	-3,132	-3,579	-4,273	-5,139	-701	-777	-717	-937	-830	-878	-896	-975
Income from continuing operations	7,176	8,633	9,971	11,991	1,681	1,747	1,852	1,896	2,002	2,118	2,161	2,352
Net Income	7,176	8,633	9,971	11,991	1,681	1,747	1,852	1,896	2,002	2,118	2,161	2,352
Non controlling interests	-10	-1	0	0	-2	6	-6	-8	-1	0	0	0
Net Income attributable to SAP	7,166	8,632	9,971	11,991	1,679	1,753	1,846	1,888	2,001	2,118	2,161	2,352
EPS-Basic - Continued Operations	6.15	7.55	9.02	11.08	1.44	1.50	1.59	1.62	1.72	1.84	1.90	2.09
EPS-Diluted - Continued Operations	6.10	7.54	9.02	11.08	1.43	1.49	1.58	1.61	1.71	1.84	1.90	2.09

Source: SAP (FY to end-December), Bernstein analysis and estimates

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	9 Jul 2026	Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
			Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
SAP.GR (SAP)	O	EUR	138.44	276.00	(64.7)%	EUR	6.10	7.54	9.02	22.7	18.4	15.3
SAP (SAP)	O	USD	158.46	323.00	(68.9)%	EUR	6.10	7.54	9.02	22.7	18.4	15.4
EDME			1,593.41									
SPX			7,575.39									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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We value SAP.GR shares based on our estimate for 12-month EPS in 1 year's time (€9.37), apply a P/E multiple of 29x, and add net cash per share of (€3.81), arriving at price target of €276.

We then value the SAP ADR shares at \$323, using the SAP GR price target of €276 and the EUR/USD FX rate at the time of updating the model.

SAP SE

We value SAP.GR shares based on our estimate for 12-month EPS in 1 year's time (€9.37), apply a P/E multiple of 29x, and add net cash per share of (€3.81), arriving at price target of €276.

We then value the SAP ADR shares at \$323, using the SAP GR price target of €276 and the EUR/USD FX rate at the time of updating the model.

RISKS**SAP SE**

Risks to our price target for SAP ADR include: slower than expected adoption of S4/HANA; lower than expected upsell into existing customers of additional modules and SaaS solutions; lower than expected growth of SAP SaaS offerings; lower than expected adoption of SaaS S4/HANA; slower migration of SAP's Cloud offerings to the hyperscale providers; issues with SAP driving margin improvement.

SAP SE

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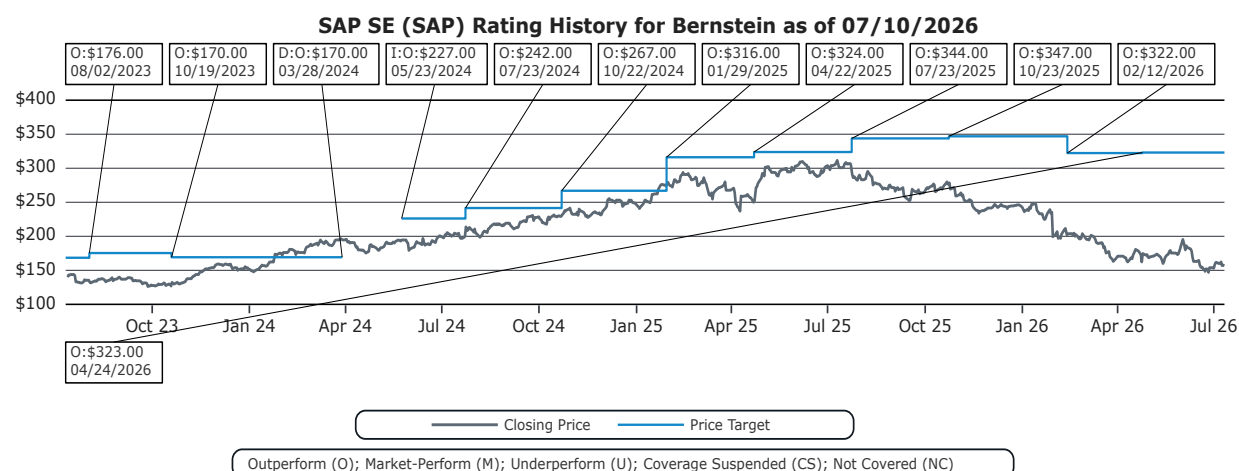
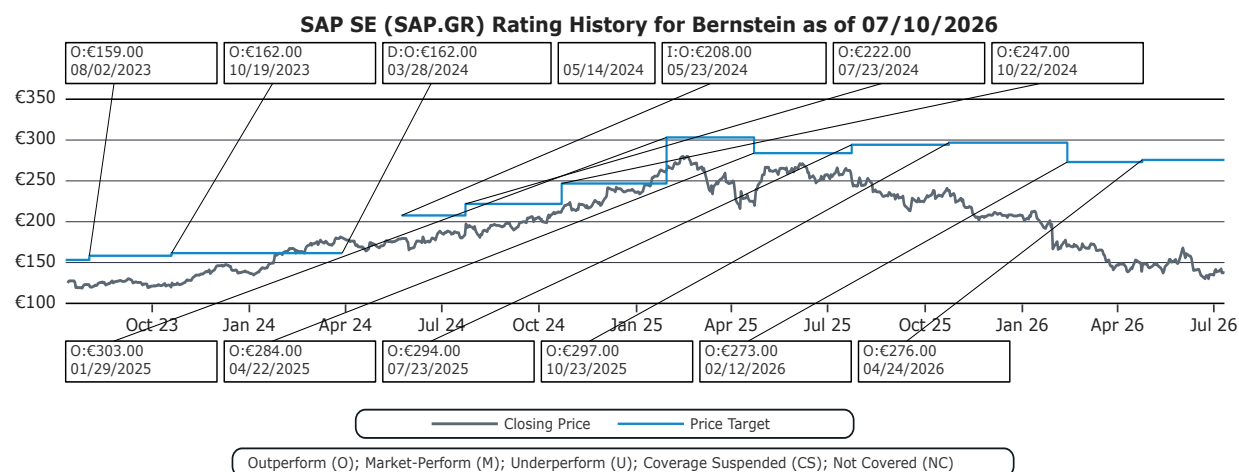
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Underperform	SELL	13.1%	13.6%

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